Nature and Significance of Management

What is management ?

DEFINITION OF MANAGEMENT:

"Management is the process of working with and through others to effectively achieve the organizational objectives by efficiently using limited resources in the changing environment." Kreitner

MEANING/CONCEPT OF MANAGEMENT:

Management is the process of getting things done with the aim of achieving goals effectively and efficiently.

a. Process: refers to the primary function like planning, organising, staffing, directing and controlling performed by the management to get things done.

b. Effectiveness: means completing the right task to achieve the deputed goal within the time frame.

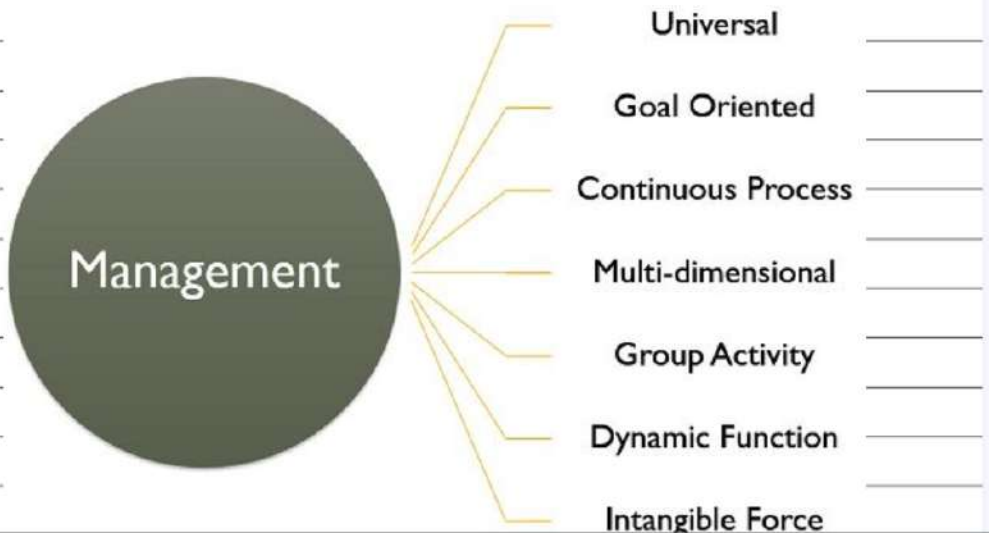
c. Efficiency: means completion of task using minimum resource.

What is effectiveness and efficiency ?

Effectiveness:- It is about doing the right task, completing the assigned job on time, no matter whatever the cost.

Efficiency:- It is about doing the job in cost effective manner i.e. getting maximum output with minimum input.

Explain different types of characterstics of management?



Management is a goal-oriented process: An organisation has a set of simple and clearly stated goals, which are the basic reason for its existence. Management unites the efforts of the individuals in the organisation towards achieving these goals.

Management is all pervasive: Management is common to all organisations whether economic, social or political. For e.g. management is applicable for a government company, school, private company or a NGO.

3.Management is multidimensional: Management does not mean one single activity but it includes three main activites

Management of work:- The management of work refers to the process of planning, organizing, directing, and controlling the various activities and resources involved in a work environment to achieve specific goals or objectives.

Management of people:- refers to the process of recruiting, selecting, training, developing, and managing the workforce of an organization. It involves designing and implementing policies and procedures to ensure that employees are engaged, motivated, and supported in their work, to achieve the organization's objectives.

Management of operations:-Management of operations refers to the process of designing, implementing, and controlling the systems and processes involved in producing goods and services in an organization.

4.Management is continous process: Management is a never-ending cycle where each function is dependent on the other and is an ongoing process of decision-making and problem-solving.

5.Management is a group activity:-Effective management requires individuals to work together as a team, with each member contributing their skills, knowledge, and expertise towards the achievement of common goals. In addition, management involves communicating and collaborating with other departments, stakeholders, and external partners, which requires a group effort.

6.Management is a dynamic function:-Management is a dynamic function that is constantly evolving and adapting to changes in the internal and external environment of an organization. This is because management involves dealing with people, resources, and circumstances that are subject to change.

7.Management is an intangible force:- Management is often considered an intangible concept because it cannot be seen or touched, but it can only be experienced through its results.

Management involves coordinating and directing the activities of people, resources, and processes to achieve specific goals or objectives. Although the outcomes of management activities can be seen and measured, the management process itself is intangible.

Explain objectives of management



Organisational Objectives: Organizational Objectives can be divided into Survival (Earning enough revenues to cover cost); Profit (To cover cost and risk); and Growth (To improve its future prospects).

a Survival: Earning enough revenues to cover cost. Management by taking positive decisions with regard to different business activities ensures survival of business for long term.

b Profitability: Earning adequate profit in order to survive and grow. Profits provide a vital incentive for the continued successful operation of the enterprise

c Growth: Growth indicates how well it exploits the potential opportunities. Growth of a business can be measured in terms of sales volume increase, number of employees, products etc.

Social Objectives:Is to provide quality products at reasonable rates and generating employment opportunities for disadvantaged sections of society. To provide basic amenities like schools and crèches to employees and by using environmental friendly methods of production.

Personal Objectives:Includes meeting the financial needs like competitive salaries and perks and Social and safety needs of the employee like basic amenities, peer recognition etc.

Explain the importance of management.


Achieving group goals
Create dynamic organisation
Helps in development of the society
Helps in achieving personal objectives
Increases efficiency

1.Management helps in achieving group goals:- Management helps in achieving group goals,Effective management includes coordinating and directing the efforts of individuals within a group to achieve common objectives.

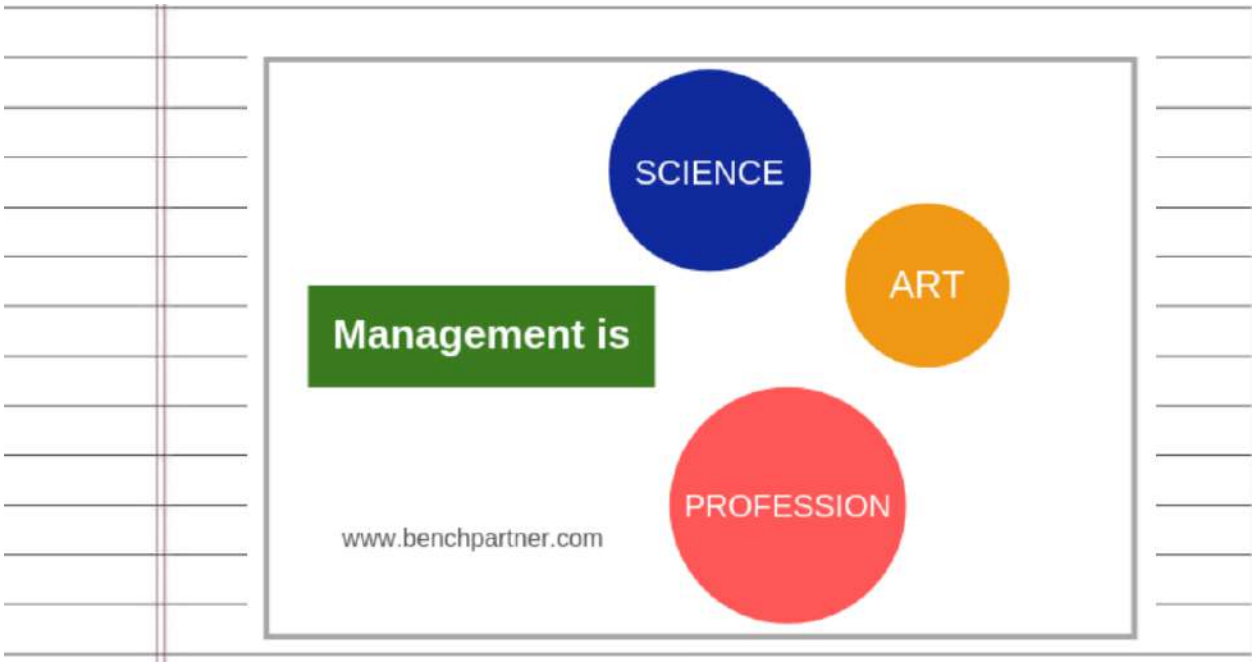
2.Management increases efficiency: Management increases efficiency by using resources in the best possible manner to reduce cost and increase productivity.

3.Management creates dynamic organization: Business environment changes rapidly and management helps managers to make changes in business according to the business environment.

4.Management helps in achieving personal objectives: Through motivation and leadership management helps the individuals in achieving personal goals while working for organizational objective.

5.Management hepls in development of society: Management helps in the development of society by producing good quality products, creating employment opportunities and adopting new technologies.

Explain nature of management.


SCIENCE
ART
Management is
PROFESSION
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1.Management as a Science:-Science is a systematized body of knowledge that is based on general truths, which can be tested anywhere, anytime.The features of Science are as follows:-

a.Systematized body of knowledge:Like science is a systematic body of knowledge because it includes various principles, theories, like science. So this feature is present in management.

b.Principles based on experiments and observation:Scientific principles are developed through experiments and observations. Management principles are based on experiments and observations have been used to develop principles and theories for organizational management.But management deals with human beings and human behavior cannot be accurately predicted. Hence this feature is partially present in management.

c.Universal validity: Scientific principles have universal validity and application but principle of management changes according to the situations.

For examples:- Law of motion is applicable universally but division of work is applicable as per the workload of an organization.So this feature is not present in management.

In conclusion, as the principles of management are not as exact as the principles of pure science, it may be called-an inexact science.

2.Management as an Art:- Art refers to skillful and personal application of existing knowledge acquired through study, observation and experience. The features of art are as follows:

a.Existence of theoretical knowledge: In every art, Systematic and organized study material is available to acquire theoretical knowledge and experts in

the respective fields apply these principles to their respective art forms.

For example different types of books are available for public speaking and in management many books are available for managerial skills. So this feature is present in management.

b.Personalized application: The use of basic knowledge differs from person to person and thus, art is a very personalized concept and management is also personalized concept.

For example:- Every sketch artist learns the same skills but they apply these skills according to their personalized skills. Similarly the manager learns the same management theories but their efficiency depends upon the manager how they use these principles. So this feature is present in management.

c.Based on practice and creativity: Art involves creativity and practice of the experts. Theoretical knowledge provides a foundation for management principles and practices, the application of these principles in real word requires practical experience and creativity to adapt them to specific situations. So this feature is present in management.

Since all the features of art are present in management. So it can be called an art.

3.Management as Profession:- Profession means an occupation for which specialized knowledge and skills are required and entry is restricted. The main features of profession are as follows:-

a. Well-defined body of Knowledge: is a complete set of principles, concepts, terms and activities that make up a professional domain. In management there are many books, courses are available for management hence management is also a well defined body of knowledge.

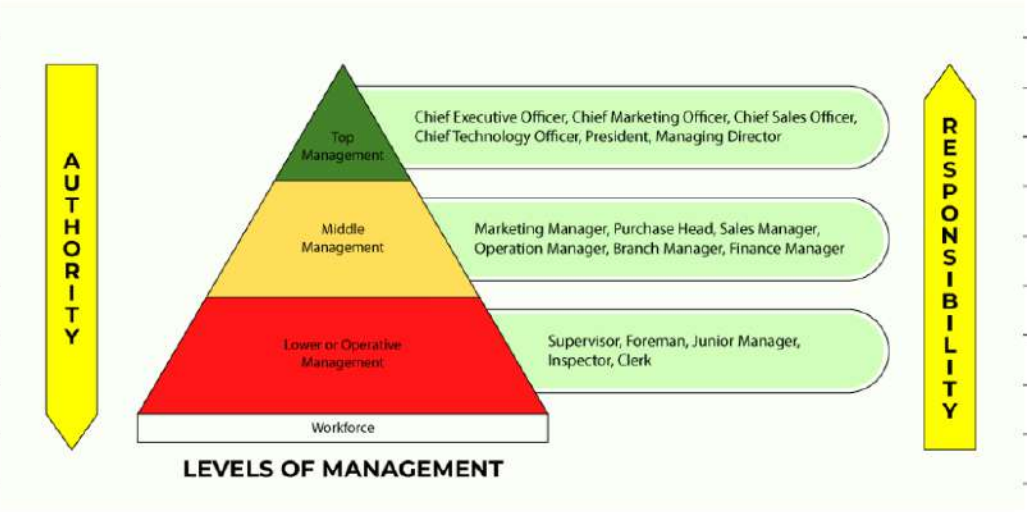
b.Restricted Entry:- Entry in profession is restricted, one should give examination to get entry in profession. But there is no such restriction on entry in management. Anyone can become a manger just need to be good in managerial skill. Like if you want to become a doctor you need to clear an examination of NEET. But management needs to give any such examinations. So this feature is not present in management but very soon it will be included with statutory backing.

c.Professional Associations:-All professions are associated with professional associations like for CA we have ICAI, for Lawyers we have Bar Council of India. Though we have AIMA for management, their registration/membership is not yet compulsory for all managers and hence this feature of profession is not present in management.

d.Ethical Code of Conduct: All professions are bound by a code of conduct, which guides the behavior of its members. In management there are some ethical codes of conduct but it is not legal to perform these codes. Hence this feature is not present in management but very soon it will be included with statutory backing.

e.Service Motive: The main aim of a profession is to serve its clients.But the main motive of management is fulfilling organizational objectives. Hence this feature is not present in management but very soon it will be included with statutory backing.

Explain different types of level of management with their functions.



1.Top Level Management:- Top level management task is conceptualizing of organizational goal, policy and strategy formulation and organising, controlling and monitoring activities and resources. Controlling the work performance of individuals and approving Budgets. It consist Chief exicutive officer, Chairman, Board of directors, Managing director, General manager, Chief financial officer.

Main functions of top level management:- Following are the main function of top level management are:-

1.Determinig objectives of the enterprise:- Objective of business organisation is framed by the top level management.

2.Framing of plans and policies:- Top level mangement frame plans and policies of a business organisation such as financial policies, functional policies etc.

3.Organizing activities to be performed by persons working at the middle level:-Top level of management organize and assign the activities to the intermediate level of management as they come under the top level.

4.Assembling all the resources such as finance, fixed assets, etc:- Top-level management arranges all the finance required for a business where to invest money, and what to purchase in fixed assets all the decisions are taken by the top level of management.

5.Responsible for the welfare and survival of the organization:- Top-level management is responsible for the welfare and survival of the organization as they take all the major decisions that directly affect the survival and welfare of the organization.

6.Liaison with the outside world:-Top level management is responsible for meeting and dealing with the outside world such as government, suppliers, investors, etc

7.To integrate diverse elements and coordinate:- Top-level management integrates different types of functions to fulfill the organizational objective.

8.Analyze business environment and its implication for survival:- The business environment is dynamic in nature and top-level management analyze the business environment and its implication for the organization and according to that they form plans and policies for the organization

2. Middle-Level Management:- Middle-level management acts as a bridge between top-level management and lower-level management. They are responsible for implementing plans and policies made by the top level of management. It consists of Departmental heads, Sub-Departmental heads, Divisional heads plant superintendents, marketing managers, etc.

The main function of middle-level management are as follows:-

1. Interpretation of policies framed by top-level management to lower-level management:- Middle-level management conveys the plans and policies made by top-level management to the lower-level management as they act as a bridge between top-level management and lower-level management.

2. Organising the activities for their department:- Middle-level management are departmental heads so all the activities that are important for achieving objectives of the organization are organized by them.

3. Finding out or recruiting/selecting and appointing the required employees:- Middle-level management selects and appoints the required manpower for their departments.

4 Motivating the person to perform to their best ability- Middle Levelmanagement offers various perks and incentives to employees so that they get motivated and perform to their best ability.

5. Cooperate with other departments :-Middle-level management cooperates with other departments to fulfill the objective of the organization.

3. Lower Level Management Supervisory And Operational Level: The main task is to ensure actual implementation of the policies as per directions of top and middle-level managers and also to Bring workers' grievances before the management & maintain discipline among the workers. It consist supervisior, superitandent, formen, etc.

The functions of lower-level management are as follows:-

1. Representing the problem or grievance of the worker:- Lower-level management is directly connected with the worker so they represent the problem or grievance to the middle-level management.

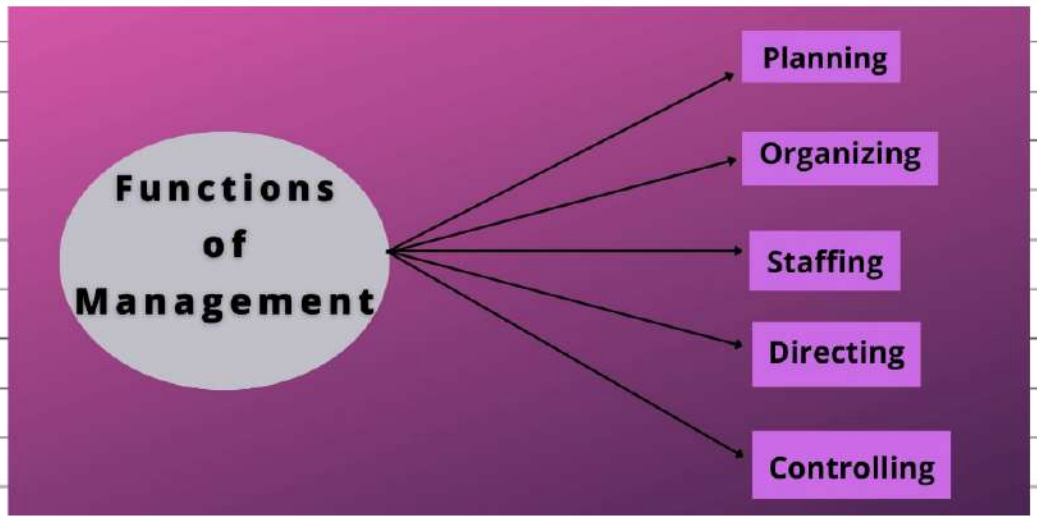
2. Maintaining good working conditions and developing healthy relation between superior and subordinates:- The supervisory manager provides good working condition and creates a supportive work environment.

3. Looking for the safety of workers:- Lower-level management is responsible for looking after the safety of workers as they are directly connected with workers,

4. They try to maintain a precise standard of quality:- Lower-level management ensures a smooth flow of output. The supervisory level managers make sure that quality standards are maintained by the workers.

5. They are responsible for boosting the morale of the workers:- Lower-level management is responsible for boosting the morale of the worker by developing team spirit in them.

Explain the function of management.



1.Planning:- Planning : Setting objectives and targets and formulating an action plan. It bridges the gap between where we are and where we want to reach.

2. Organising: Involves assigning duties, grouping tasks, establishing authority and responsibility relationships and allocating the resources required to perform a specific plan.

3. Staffing: Finding and placing the right person for the right job at the right time. It involves recruitment, selection, placement, induction and development of employees.

4. Directing: Refers to leading, influencing, motivating the staff chosen to perform the assigned task efficiently and effectively.

5.Controlling: Refers to monitoring organizational activities towards the attainment of organizational goals. It involves setting standards measuring current performance, comparing with the standards, and taking corrective action for deviations.

What is coordination?

Coordination is the force that synchronizes all the management functions and different departments' activities. Lack of coordination results in overlapping, duplication, delays, and chaos. It is concerned with all three levels of management as if all the levels of management are looked at together, they become a group and as in the case of every group, they also require coordination among themselves. Coordination is implicit and inherent in all functions of an organization.

Explain the essence of management.

1. Coordination is needed to perform all the functions of management:- Coordination is a critical function of management that helps to ensure that all the other parts of management are performed effectively and efficiently. Coordination involves integrating the efforts of various departments, teams, and individuals in an organization to achieve common goals.

2. Coordination is required at all levels:- Coordination is required at all levels of an organization, from the top management to lower-level management employees, to ensure that everyone is working together towards the same objectives.

At the top level of an organization, coordination is essential to ensure that the organization's overall strategy and goals are communicated effectively to all departments and individuals.

In the middle level of an organization, coordination is essential to ensure that the plans and strategies established at the top level are executed effectively.

Lower level management coordination is essential to ensure that day-to-day operations are executed effectively. Front-line coordination involves ensuring that individual employees are aware of their roles and responsibilities and that they are working together to achieve common goals.

3.Coordination is the most important function of the organisation:- Coordination is necessary because it ensures that all the functions work together seamlessly to achieve the organization's goals. For example without planning, an organization would not have a clear direction for achieving its objectives.

Explain the nature or features of coordiation.

1.Coordination Integrates Group Effort: Coordination is an important function of management that integrates group efforts towards achieving common objectives. It involves bringing together the various departments, teams, and individuals within an organization and aligning their efforts to work together towards a common goal.

2.Coordination Ensures unity of action:- Coordination is important to ensuring unity of action in an organization. When different departments and individuals within an organization work together towards common objectives, there is a need for them to coordinate their efforts to ensure that they are aligned and unified.

Coordination helps to ensure that everyone in the organization is working towards the same goals and objectives, using the same standards and procedures.

3.Coordination is a Continuous Process: Coordination is a continuous process that is required throughout the life of an organization. It is not a one-time activity that can be completed and then forgotten. Coordination needs to be an ongoing process that is continually and improved upon as necessary.

4.Coordination is the responsibility of all managers: coordination is equally important at all levels of management. It is the responsibility of all the individuals in an organisation to carry out their work in a responsible manner and coordinate with each other to achieve organizational goals.

5.Coordination is a deliberate function: A manager has to coordinate the efforts of different people in a conscious and deliberate manner. In other words, coordination is never established by itself rather it is a conscious effort on the part of every manager.

6.Coordination is all pervasive function: It is needed in all departments and at all levels. Lack of coordination can lead to overlapping of activities.

Explain the improtance of coordination.

1.Growth in the Size: An organisations growth results in the increase in the number of people employed with varied individual aspirations and culture. So it is important to harmonize individual goal with the organizational goals through coordination.

2.Functional Differentiation: All the departments and divisions may have their own, objective, policies and their ownstyle of working. However all departments and individuals are interdependent and cannot work in isolation. Thus,coordination is necessary for linking the activities of various departments.

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3.Specialization: Mostly specialists have a feeling of superiority and prioritize their zone of activities. Coordination seeks to sequence and integrate all the specialists' activities into a heathy effort.